

DBS Group Holdings Ltd SGX:D05

FQ1 2024 Earnings Call Transcripts

Thursday, May 2, 2024 3:30 AM GMT
S&P Global Market Intelligence Estimates

	-FQ4 2023-			-FQ1 2024-			-FY 2023-	
	CONSENSUS	ACTUAL	SURPRISE	CONSENSUS	ACTUAL	SURPRISE	CONSENSUS	ACTUAL
EPS Normalized	0.84	NA	NA	0.87	4.57	▲425.29	3.57	NA
Revenue (mm)	4951.71	NA	NA	5108.51	5557.00	▲8.78	20067.41	NA

Currency: SGD
Consensus as of May-02-2024 5:22 AM GMT

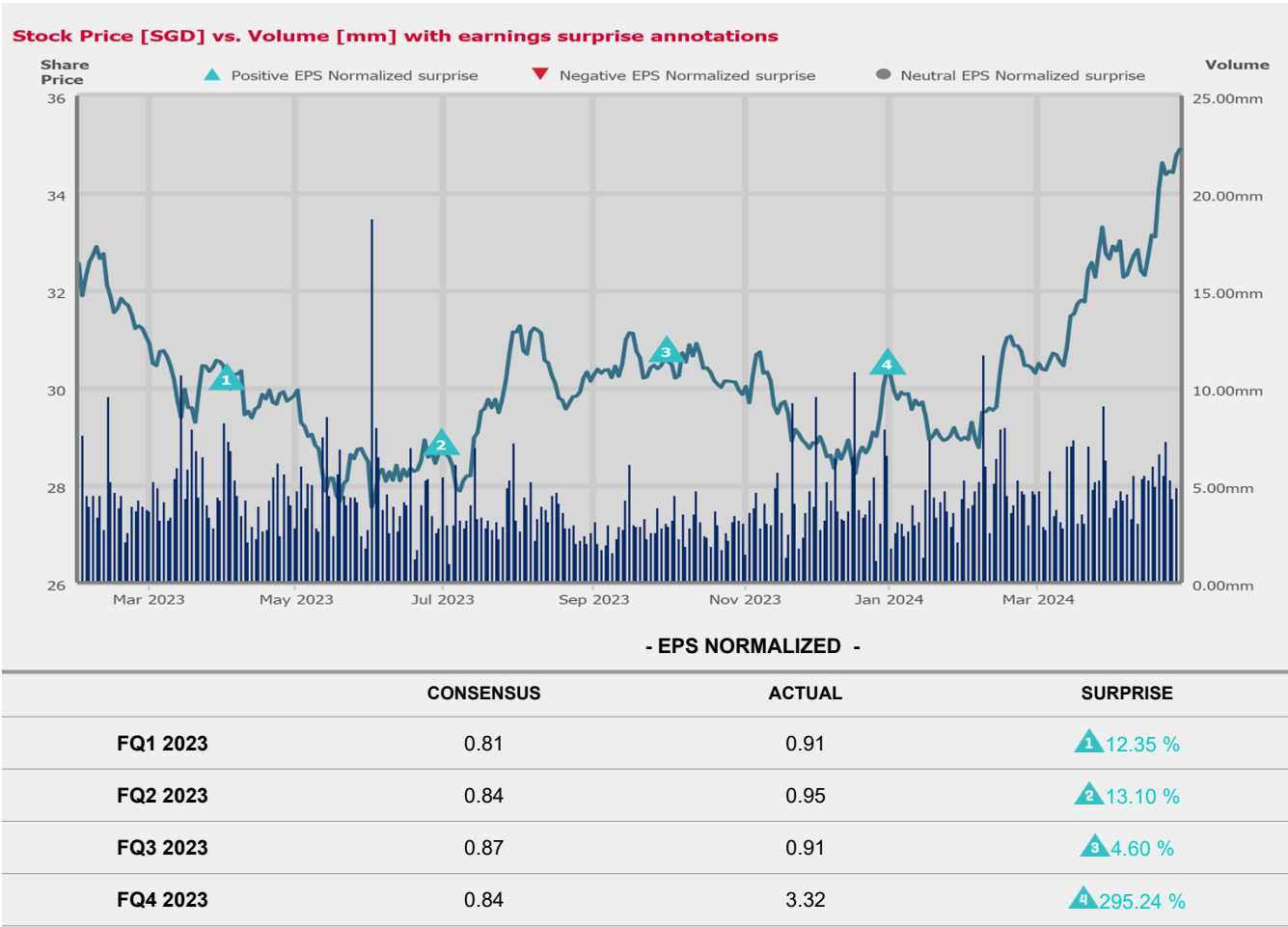


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Call Participants

EXECUTIVES

Piyush Gupta
CEO & Executive Director

Sok Hui Lim
Chief Financial Officer

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Goldman Sachs Group, Inc., Research Division

Yong Hong Tan
Citigroup Inc., Research Division

ATTENDEES

Benton Jing Hung Yick

Presentation

Benton Jing Hung Yick

Good morning, everyone. Welcome to the DBS analyst briefing. You've already heard the media briefing, so we can go straight to Q&A.

Question and Answer

Benton Jing Hung Yick

Some very brief instructions before we start. [Operator Instructions]. Without further ado, the first question is from Yong Hong from Citi.

Yong Hong Tan
Citigroup Inc., Research Division

Happy \$100 billion market cap. I have two questions. Maybe I'll ask them one by one. My first question is on loans. I think the nontrade corporate loans were great, and I think there was also some currency impact. Is this too early to take it as a sign that the borrowers are accepting the rates will be higher than longer? And would that be upside to our low single digits full year view? Just trying to get some sense if this momentum can continue for the year.

Piyush Gupta
CEO & Executive Director

I think it's too early to say that. I think it's correct. So we had strong momentum in the first quarter. Our pipelines for the second quarter are solid but moving near to strong as the first quarter, for example. So at this point in time, we're not changing our guidance of low single-digit loan growth. Also, the revised outlook on rates that rates will continue to stay higher means I think we'll continue to see some headwinds in the Hong Kong book as well. So I mean, short answer, I think it's too early to make a call.

Sok Hui Lim
Chief Financial Officer

Yong Hong, maybe just to add, we showed actually in the CFO presentation, the loans are stated in constant currency. So the growth of \$6 billion this quarter is in constant currency terms.

Yong Hong Tan
Citigroup Inc., Research Division

And my second question is on your guidance. I think 6% to 7% of income growth with this low 40% cost-to-income ratio. I think based on these 2 guidance seems to imply some slowdown in your top line and some pickup in OpEx. Just want to confirm each -- this is what you're guiding for.

Piyush Gupta
CEO & Executive Director

Yes. The slowdown in top line because of uncertainty. First quarter was very strong. So our first quarter generally tends to be stronger and the fourth quarter tends to be weaker, partly because of the market conditions in the beginning of the year and the end of the year. So I think it would be unrealistic to take the first quarter and multiply it by 4, as an example. So I do think that we'll see some moderation in growth as we go through the year.

In terms of expenses, you already got, full year expense is a high single digit, we are keeping that. We don't expect any unusual growth in expenses either. But when you look at our income projection with the expense, you actually wind up in the very low 40% range.

Yong Hong Tan
Citigroup Inc., Research Division

And the slowdown in income that could potentially come from your noninterest income, for example, your wealth management, your treasury customer sales were exceptional this quarter. Do you expect it to moderate over the course of the year?

Piyush Gupta
CEO & Executive Director

Well, the wealth management is very strong. So far, the momentum is continuing. But part of the strength in Wealth Management came -- Wealth Management was like animal spirit. So people feel good about the macro environment. And if you remember going into January, everybody figure rates were coming down. And so a lot of people who are open to putting money to work in the market,

right? So if rates don't come down, policy is something then and the animal spirit received, then you wind up seeing some headwinds. I mean there is some certain correlation between market sentiment and the wealth management fees. So that's the thing, which is a little uncertain, whether we can continue to get the same growth that we got in the first quarter, unclear. But like I said, we started the second quarter with the same momentum.

Yong Hong Tan

Citigroup Inc., Research Division

And my last question is on capital. I think even if you're a large capital base, you continue to accrete capital, and if you assume this MES penalty get lifted, there will be another 90 basis points to your capital ratio. You add that 100 to 150 basis point 2030 at least, from the Visa framework. Just wanted to get a sense on how are you going to manage this excess capital in a short to LME long-term?

Piyush Gupta

CEO & Executive Director

Well, we're going to obviously have to keep looking at our capital position and our opportunities return. We're going to do that through the year because what you said is correct, right? Now we are creating a lot more capital than we're paying out. And so obviously, that's not sustainable. So yes, we will evaluate it through the year.

Sok Hui Lim

Chief Financial Officer

Yong Hong, just a clarification. The impact of the additional [operating] charge is 70 basis points, not 90 basis points. And they role to the Sing dollar operation income only.

Benton Jing Hung Yick

The next question is from Aakash from UBS.

Aakash Rawat

UBS Investment Bank, Research Division

Congrats on a [blower] quarter. The first question is again on loan growth. I think you're sounding a little bit more optimistic. You're not exactly extrapolating the loan growth momentum. But if I can ask at the margin, is this slightly better growth coming from better gross demand? Or is it in a lower repayments when you compare it to last year? What sort of trends are you seeing there?

Piyush Gupta

CEO & Executive Director

Gross demand, Aakash. So the repayments actually -- the only thing we're seeing higher repayments now is really still the Hong Kong book. The rest of it is, I mean, some people borrow for short term and repay and working capital that happens all the time. But this was all a lot of demand. The commodity complex, I think, both energy, I think oil price is going up, and there's more borrowing there, but soft commodity is also a little more borrowing there. Yes, so the demand was broad-based, particularly India. So India was a chunk of that room growth came from India. It's also quite broad-based.

Aakash Rawat

UBS Investment Bank, Research Division

And you mentioned commodity and some of the loans in Singapore. But is there something within the manufacturing or technology-related sector as well? Or is that not really showing up yet?

Piyush Gupta

CEO & Executive Director

We're seeing [indiscernible] in the first quarter, but in a pipeline, we are seeing some fairly decent pipelines in the energy complex. We're seeing some decent pipelines in manufacturing and minerals and some in TMT. So there is some in the manufacturing complex as well. No, it wasn't the bulk of the first quarter growth.

Aakash Rawat

UBS Investment Bank, Research Division

And then the second question, please, is on reduction in capital. I think it's pretty clear that you need to do more than what you have committed so far in terms of the core dividend increase every year. The question I'm wondering if the last quarter when I asked you this question, I think you said that the MAS, I was not really restricting you, but maybe the optics were not correct to do a special dividend in Q4. The question I'm asking is, in second quarter, do you think with this further removed now, it opens up the door for you to do a special dividend? Or would you still focus more on a core dividend increase or an off-cycle increase kind of thing, which...

Piyush Gupta
CEO & Executive Director

I guess the honest truth is that we haven't evaluated it at the Board. So it would be remiss of me to tell you how we might think about it. I think the underlying premise that we are creating a lot more capital, that is true. And so we will evaluate it at the Board over the next few quarters and what is the best way to return it.

Aakash Rawat
UBS Investment Bank, Research Division

And this can happen before Q2 as well, right, because I think the Board meeting happens every quarter?

Piyush Gupta
CEO & Executive Director

It could happen. I mean there's nothing to prevent it from happening in Q2. But like I said, we hasten to add, it's not something we've evaluated yet.

Aakash Rawat
UBS Investment Bank, Research Division

The third one, I don't know how much you can comment on that, but some clients that I'm talking to are suggesting that there is this chatter that you're going to retire this year. Can I ask you for any comments on that?

Piyush Gupta
CEO & Executive Director

No, I'm not retiring this year.

Aakash Rawat
UBS Investment Bank, Research Division

Very good to hear. The fourth question I have is just on the -- so the higher rates and higher-for-longer environment, I think right now is good for the company, good margin, and good for the stock, which kind of makes sense and work in the right view. But at some point this will start becoming a problem or a concern for asset quality. So from your perspective, like if the scenario 1 where rates don't rise, how long does it take for them to stay at this level when your NPA formation starts rising? Or when are you to -- actually do rise further? And then what level of units do you think that NPA formation starts accelerating from the current level?

Piyush Gupta
CEO & Executive Director

So Aakash, I don't know the answer to that as I've said before. I would have expected NPAs to be higher already for the last 12, 18 months, right? And we've been sort of all girded up for that. We built up reserves, we kept overlay questions because I fully expected that rates where they are, you should see a lot more NPA and cost of credit. So it has been one of the big unknowns to me why we're not seeing it anywhere in the world. And by this time, just in our book or in Asia, you're not seeing this pick up anywhere in the world. And there's a lot of speculation. And part of it -- for the first couple of years, people thought it was a fiscal spending support provided by all the governments. But I have to believe that a lot of that must have run its course by now.

I do think that there's an element of excess money sloshing around. I mean the [indiscernible] telling that the Fed printed, I think that just has a huge bearing on availability and liquidity around the board. So maybe there's an element of that, but I don't know. The short answer is, I don't know why you're not seeing more cost of credit. But as we do our forward-looking stuff, all of our companies, all of our individuals are all quite resilient. Now except the 1 place. You beginning to see a pickup in this thing in the consumer book. So if we look at our SPs for this quarter, we had almost 0 in the corporate book. The entire 115 million of SPs is almost entirely the consumer book. And the consumer book is inching up. It's now still nowhere near its peak. It's nowhere near where it was in GFC or

whatever. It's like at least 20%, 30% lower than those levels. But you can see that the higher interest rates, we need to stress, some stress to begin to see in the consumer book.

Similarly, SME and mid-cap, I would expect it a lot for by now. Not seeing it, there's a marginal pickup in delinquencies, but nothing to write on about. If rates continue the way they are another year, 2 years, does that shoe begin to drop? Like I said, I've been expecting it for a year, so I won't be surprised if you begin to see more stress, but -- which is one of the reasons why we're just hanging on to the excess reserves we built up. We've not reversed them because just the high interest rate environment gives me reason to pause and figure at some stage, it might come.

Aakash Rawat

UBS Investment Bank, Research Division

So 2 follow-up question on this. First one is, you do have some 70, 80 basis points of excess provision buffer. So with that, on the book, why do you think your credit cost can go from 10% to 17% to 20%? Why don't they normalize? Why will they not stay at 10% and you can use that buffer to take care of any NPA pickup that is happening?

And the second question is, I think, if you go back to your comment about why -- it's not very clear why the credit cycle has not [deteriorated], I think the nature of this credit cycle is also very different, right? So typically, in the credit cycle, we do see a lot of increase in leverage. Loan growth is very strong in the early part of the cycle, which causes NPLs. This time that was very different. Loan growth was actually negative for a [bipolar] number of years at a system level. So is that one of the reasons do you think why you won't see any systemic problems, but there might be some idiosyncratic like in the CRE space and stuff right in Hong Kong or in the U.S.

Piyush Gupta

CEO & Executive Director

So let me start with the fourth, obviously. I think that's -- I didn't talk about it. I think that is one of the reasons. Both the corporate side -- actually, everything at a sovereign level, countries are much stronger and a far more flexible exchange rate policies and reserves are much stronger. So country-level crisis that you've seen in the past, I'm not seeing that. Our leverage in the system has been much lower. So borrowing are much lower across the board. So what you're saying is right. And therefore -- right, I mean I'm not seeing it other than idiosyncratic stuff in some sectors. So I'm just being prudent.

The second observation there is also correct. We have actually 4 bites in the cherry. First of all, our current SPs are at 10%, right? And so even -- and I'm sort of baselining at 17% to 20%, so a lot more cushion in my current baseline. Then my second bite of the cherry is by income -- this thing. We generated \$3 billion in the first quarter. So even if you wind up with a few hundred million more credit, we have the earnings capacity to be able to take care of it.

My third bite of the cherry is the excess reserves are built up. We've got \$2 billion in overlay. So if my earnings are not enough, then I still have \$2 billion to take that.

And then my fourth bite of the cherry is capital. We still have enough capital. So when I say that we are very solid, we have a very solid balance sheet, because I do think that right now our income statement and our balance sheet is so robust. We can take a lot of pain. But could the situation be more painful than it is now, that's my only comment. Yes, it could be more painful than, right? It's just too unbelievable.

Aakash Rawat

UBS Investment Bank, Research Division

Understood. And the very last question I have, I think, if I heard you correctly, you mentioned that you're now assuming 2 rate hikes this year versus 5 rate cuts last quarter. Is that correct.

Piyush Gupta

CEO & Executive Director

The market is pricing 40 basis points. And so I'm still on the camp [indiscernible] yesterday's statement, thinking -- I was still thinking that we get a June, July rate hike and then another one -- sorry, rate cut. I said rate hike even -- the rate cut. I was still on the view that it start seeing 2 rate cuts. But with power statement now, it could be that there is even less likelihood that they cut rates. But right now, we are currently thinking maybe 1 June, 1 July, 1 September.

Aakash Rawat

UBS Investment Bank, Research Division

So it's rate cuts, not rate hike.

Benton Jing Hung Yick

Next question from Jayden from Macquarie.

Jayden Vantarakis
Macquarie Research

Thank you very much for the opportunity, and you're well done on an excellent quarter. A couple of follow-up questions. Just on the outlook for net interest income. I think during the media briefing, you said, Piyush, there was maybe \$100 million of uplift. It sounds like that's assuming 2 rate cuts this year. I guess my question would be if there's no rate cuts at all, is that number higher? And then secondly, is there some potential uplift if you're seeing more opportunity to manage the liabilities a bit more proactively? I mean the domestic system is really flush with liquidity, and it sounds like there's not a huge sort of pipeline for loans based on your previous comments. So just wondering what your thoughts were on sort of the sensitivity for NII from here?

Piyush Gupta
CEO & Executive Director

I think if there are no rate cuts, there is more upside. That's correct. So right now our projection is based on 2 rate cuts like I just described. So the none, I think there will be more upside, yes.

And then on managing our deposit, we've actually been quite sensible about how we manage our deposit pricing. And so I don't know if we have a lot more opportunity to be sharper on deposit pricing. We have a large CASA ratio. And on CASA, our payouts are very small. Large part of our savings book, we pay out at 15 basis points. So there's not a lot more opportunity to be sharper on deposit pricing.

At the same time, in some case, we still need -- you can make a positive margin but you're going to pay the market rate. The Singapore government issuing treasury bills at a yield of between 3.5%, 3.7%, it ranges around that. So if you want to pick up any money in the fixed deposit space, you've got to match the T-bill kind of -- you've got to -- just keep in mind that T-Bill benchmark. And right now, it still makes sense to pick up some of that money because like I said, you can still make a positive carry if you bring in money at that rate.

Jayden Vantarakis
Macquarie Research

And my next question is just on the wealth fees. You obviously integrated the Taiwan business and you're now, by far, the largest foreign bank in Taiwan. How much of the growth in wealth fees is from that Citi franchise? And how much more do you think you could do? Because I know that on the media call, we were asking about India, but I would expect that your value proposition in Taiwan is actually very interesting. So did you have any color you could share on that?

Piyush Gupta
CEO & Executive Director

Yes. I indicated before, our total wealth fee growth for the quarter is some 45-odd percent. And if we exclude the Taiwan business, it's 35%. I think Taiwan accounted for about 12% of the growth. 47% to 35%, about 12% came from the Taiwan business, but the observation is completely spot on. So we are finding tremendous value on both sides of the franchise.

On the DBS customer base, Citi had some product capabilities, which are additional and accretive. And we had to bolster ourselves up because we had to make sure those are available to Citi customers. So for example, online equity trading, we did not have that, but Citi was providing it to their customers, so we had to build that capability. Our foreign exchange. Citi had much better, more robust foreign exchange products than we do. And so we've been able to layer that on and provide that to our customers. And in the first quarter, we're already seeing that our customers are, therefore, improving the yield on the AUMs because we are doing more with them.

Similarly, on the other side, the Citi customer base, they were actually not very strong in structured products and structured notes, which we manufacture and it's a big mainstay of our wealth offering. So by being able to offer that into the Citi base or bancassurance into the Citi base, we are getting better outcomes from the Citi base as well. And this is still early days that we integrated in August. So we really had 2 quarters under the belt. I'm actually quite energized by the upside I'm seeing on both sides of the franchise. So I do think there's a real opportunity there.

Benton Jing Hung Yick

The next question is from Melissa from Goldman.

Wei Yi Kuang

Goldman Sachs Group, Inc., Research Division

Congratulations on the very strong quarter. Just in terms of your NIM, maybe can we give a little bit of color. In terms of the HIBOR pressure, what was perhaps -- what was the NIM compression that was coming from that? And then maybe the NIM in terms of the repricing tile, how much we had? And can you just again share how much more of this repricing that we could see in the next quarter, like in second quarter? Would that -- would HIBOR now a bit more stable? Do you think we can see a NIM expansion?

Also just looking forward -- much forward into next year in terms of NIMs, you have done hedging before. I just wanted to kind of think about your hedge position now and how much that will help in terms of next year. Could we still see a better NIM outcome versus what we expected with more hedging or perhaps if you had done more hedging for next year. That's my first question.

And then second question in terms of NPA formation. I know you mentioned on the call it's nothing, it's just quite small. It's business as usual, but do you think you can give more color as to what drove the NPA formation increase this quarter? Yes, I'll just stop there.

Sok Hui Lim

Chief Financial Officer

So on the Hong Kong HIBOR, so certainly, HIBOR came off quite a bit between fourth quarter and first quarter. I think it's 55 basis points on a 1-month rate. So the impact to the group NIM is actually 2 basis points. So we guided that this quarter we had 2 basis points increase in commercial book NIM helped by the duration portfolio, but offset by HIBOR. So the HIBOR impact was actually 2 basis points.

Piyush Gupta

CEO & Executive Director

Your other question on NIM. So you rightly put on hedges. Our total fixed rate book is \$184 billion, right? It was \$180 billion at the end of last year. So \$16 billion of that book repriced but we also added another \$4 billion. So we actually put on duration of an additional 4. And when you put our duration, the bulk of the duration is between 2 and 3 years. So we're not going out very long on the yield curve that are still kind of wary of what might happen to the long end of the yield curve. So we don't want to take too much of a risk on that. But even going into the belly of the curve at the 3-year point, it gives you a very decent 2% lift in your yields, right, which is what we're trying to do.

Now as we said before, this year, \$40 billion of our book is repricing, of which \$16 billion happened in the first quarter. The balance, \$24 billion will happen in second, third and fourth quarter. A large part of it is front book. If I remember out of the \$40 billion, about \$27 billion or \$28 billion happens in the first half. So I want to say about another \$10 billion to \$12 billion will be repriced in the second quarter. And all of the repricing gives us that lift. The third and fourth quarter is a small approach. It's about \$12 billion reprice there. But all of this when you put, it starts flowing into that incremental yield that we get, that insulates us.

On the other hand, as you know, we have headwinds on NIM, which come from two things. One, obviously, if you start seeing rate cuts, then you see headwinds. Also, as you know, that there is -- continues to be a gap between the U.S. dollar Fed funds rate and the domestic rates in Sing dollar and Hong Kong dollar, right? So HIBOR gap was and really high but go through cycles, we don't get the full benefit of the dollar hike. And so there's a little bit of headwind from there.

And there is headwind because of repricing of CASA. That continues to be the case. So our deposit betas today are about 40% in the last quarter, which means whatever has been hiked globally, we've passed on about 40% of that in a blended way to our customer base. And as rates stay higher, the deposit beta keeps edging up. Now it's less than I thought it would be at this stage, but it still heads up. So all of these are headwinds to NIM. The repricing of the fixed asset book is a tailwind to NIM. When you balance all of that together, our modeling suggested that we will see relatively stable of marginal decrease in NIMs from last year's exit level. I think we are on track. I haven't seen the modeling around next year and what we're going to see next year. But if you assume that there is no change to the rate outlook, I think it will probably be somewhat of a continuation of this year's trajectory.

Sok Hui Lim

Chief Financial Officer

Maybe just to add that as we guided in the fourth quarter last year, we are not actually optimizing to the hilt, meaning if we had not consciously put on some duration in 2 to 3 years, we actually will get even higher net interest income. But because we're actually

adding duration, we are prepared that there will be some opportunity costs as we trade off short term for longer term. That happened in the fourth quarter. It has happened again in the first quarter.

Piyush Gupta
CEO & Executive Director

Your second question on NPAs, it will [indiscernible]. For example, one of the NPAs is in Myanmar where the underlying company is performing well, but the government has exchanged control regulations. And therefore, they're unable to remit the money out of Myanmar. So we've had to move it to NPA and take a log.

Another case is in India, where the joint venture between one of our clients and a U.K.-based firm, and they've decided to unwind the joint venture so that they're going to go into some current distribution agreement. And so we're having some challenges with that situation. So that's another NPA.

Third is a residential project in Hong Kong where we haven't taken any SP. Actually, our loan to asset is very low in the 20s, but we've had to take that because there was a default somewhere in the system on that one. So it's quite a widespread in terms of NPA formation. There's no trend or trajectory there.

Benton Jing Hung Yick

Next question from Harsh from JPMorgan.

Harsh Wardhan Modi
JPMorgan Chase & Co, Research Division

Few questions. First, on margins -- thanks for explaining the moving parts. Is it fair to say that as also [Tobey] mentioned, that the split RAs so high. Is it more likely that you would give up a bit more on NIMs to ensure that the longevity of to handle on NIMs, let's say, in '25 and potentially longer? So what I'm getting to is, let's say, if you can get 2, 3, 4 basis points higher over the next 2, 3 quarters, you would rather let it go and ensure either duration or market share so that we get a much longer NIM outlook -- visibility or NIM even when rates start coming off. Is it possible to do that? And is that what you're looking to do?

Piyush Gupta
CEO & Executive Director

So in a nutshell, yes. The short answer is exactly what we're doing. There are two things. One, you asked me this question the last time as still the case. One, we are not -- I'm further not managing to NIM. I'm managing to interest income. I'm managing to longevity to making sure that we have some stability in that income over the next 2, 3 years. So you asked me last time whether we give up some market share in the mortgage market in Singapore to protect the interest income? The short answer is yes, and we're still doing that. Because right now, the market is pricing mortgages at 3%. The pricing fixed deposit is 3%. And I don't know how that makes any sense. And so we've been quite disciplined on that front.

Similarly, a point that Sok Hui said as well, we could just take assets which are repricing and put them into Central Bank placements. Today, Central Bank placements in any country, whether it's in China or here or anywhere or just short paper issued by the Central Bank gives you much better returns than going and buying 2, 3 of paper -- much better means, 30, 40 basis points, you can improve if you do that.

But the problem with that is that now it gives you the returns for 1 month or 2 months. What happens when the rates start falling off? And so we are compromising and we are trading off the short-term interest income and NIM in that case, interest income as well and just locking in the rates as we can. But also, we're being sensible. We don't want to go too long out on the, first of all, yield curves are inverted. So even going further out doesn't make me more money. But at the same time, I'm unclear about what could happen to the yield curve in the long tenors. But the mid-tenors, I think are sensible. It protects our income into '25, '26 quite well without giving up too much income in '24.

Harsh Wardhan Modi
JPMorgan Chase & Co, Research Division

So basically, what I'm trying to get to is, if we get, let's say, 1 rate cut or 2 rate cut or 5 rate cuts. So 1 or 2 rate cuts, is it still -- we can get the flattish NIM plus/minus 5, 10 basis points over next year or 2. Of course, if 5 rate cuts, then you can't. So like how much of insurance you have been able to buy with this longevity -- with this duration longevity?

Piyush Gupta

CEO & Executive Director

I don't have a specific answer, Harsh. I haven't done the modeling and the numbers going forward. And we can probably do it offline and tell you. But I think it's -- another way to think about it, right? I told you our fixed rate asset book is about \$184 billion. If you look at our total commercial book, total assets, there probably about \$550 million, \$600 million. So it's about 1/3 of our book is logged in, and it tends to be logged in for 2, 3 years. That's the insurance we're buying on 1/3 of the book. That's one way to think about it.

Harsh Wardhan Modi

JPMorgan Chase & Co, Research Division

The other bit is on the capital. We have had that decision. Could we get to a refresher on how do you think about the pros and cons of special versus regular -- buyback doesn't make sense that rise and potentially M&A. How do you think about all these 3 uses of capital?

Piyush Gupta

CEO & Executive Director

I think they're all good uses of capital. As you know, M&A -- all the M&As we've done have been sort of bolt-on and manageable. So capital for M&A as if you use it is a few -- in the hundreds of million dollars. The maximum we put to work was with Citi Taiwan, which was also sub-\$2 billion. So yes, there's nothing obvious that is huge, which would eat up a lot of the capital. And our capital surpluses are running to several billion dollars. So we're really looking at returning capital. Returning capital, both of those special dividends -- ordinary dividend hike, special dividend and other ways are all on the table.

Because we are creating some of capital, if you look at our first quarter, even with all of the extra \$0.54 in the larger bonus shares, our payout for the quarter is still in the very low 50s. And therefore, if you're really going to return all of the surplus capital that payout is going to have to go much, much higher. And so we have to obviously think about the ordinary dividend. All we're going to think about specials and so on. I mean, again, like I say, I don't want to be premature because this is a Board discussion. It's not just a management call, and we will evaluate that in the coming quarters.

Harsh Wardhan Modi

JPMorgan Chase & Co, Research Division

So on that, is there because right now, \$10 million looks defensible this year, maybe next year to substantially, but then if you have a much sharper rate cuts, it becomes a bit of an issue. What I'm getting to is, is there a payout percentage limit? Because at some point in time, you will see significant balance sheet growth. So that's where that special versus regular that -- is there any guidance or anything that you think that beyond this we should not go above, let's say, 60% or 70% payout even on a medium term because that will constrain your ordinary dividend at some point in time.

Piyush Gupta

CEO & Executive Director

We don't -- as you know, our policy is never architected around payout ratio. Policy architecture on making sure that we can pay sustainably growing dividend over time. And so, you're right. In the sense, we do think about that, that we do want to have to go back in current dividends. And therefore, as long as we can make sure that the dividend posture so that we don't have to go and cut dividends, then we can afford to pay. But we don't necessarily take a payout prism on that.

Harsh Wardhan Modi

JPMorgan Chase & Co, Research Division

And then the final one, Piyush, probably a different way of asking, there has been a phenomenal innings at DBS from ['09] discussion till now. This year, you very clearly said you would stay with DBS. But as you look at, let's say, next 3 years, what are the -- what do you see -- what is the challenge that you are setting up yourself for, and is it still DBS 3 years from now? Or is it something bigger that you're looking for?

Piyush Gupta

CEO & Executive Director

First of all, 3 years, who knows, right? It's a long period of time. But I think the better way to answer this question is we have very robust succession planning at every step and every level in the organization. And we've had that for 10 years. So I think all of you guys should take one reassurance in the fact that all are senior, first of all, is stability. But wherever we've had loss of senior management, we've been able to fill it internally. And we've been able to grow our people across all of our things. My management

committee of 20 is our homegrown. So we groom and grow our talent, we move them around, we give people exposure, we give people experience. We have a very, very solid team.

And the reality is that we've had a great innings, but it wasn't a Piyush Gupta story. If you look at the senior management team, it's a very stable senior management team and has collectively worked over this for a large numbers of years. So I wouldn't make too much of a big deal, whether I retire in 3 years or 5 years, it's not the defining question to me. The question is, do we have enough momentum in the business? Are our strategy sound? Is our execution capability robust? Is the culture in the company long-lasting? I think the answer to all of those is yes, yes, yes.

Benton Jing Hung Yick

The next question is from Jonathan from UOB Kay Hian.

Jonathan Koh
UOB Kay Hian Research Pte Ltd

Congrats on the very strong results. I have two related questions relating to the contribution from associate company -- associated company. They are down 16% -- sorry, they are down 19% year-on-year. Firstly is the performance of Shenzhen Rural Commercial Bank [more] than expected? And then secondly, do you see this weakness persisting to the rest -- to subsequent quarter for the rest of the year or will we see a turnaround.

Piyush Gupta
CEO & Executive Director

I'm looking at Sok Hui because I didn't think it was down, actually it's doing quite well. Sok Hui, why is it down on year-on-year? I didn't noticed that.

Sok Hui Lim
Chief Financial Officer

Let me just come back with you -- to you quite quickly, maybe you take the next question.

Piyush Gupta
CEO & Executive Director

So by either in short, the Shenzhen Rural Commercial Bank is doing well. So we are not seeing a problem in the performance. And if anything, because we increased our stake by 2%, 3%, the contribution has gone up, not down. So there must be something with Sok Hui will check and get back to you on...

Benton Jing Hung Yick

We have a follow-up question from Yong Hong from Citi.

Yong Hong Tan
Citigroup Inc., Research Division

Maybe just two follow-up questions. I heard about the -- read about the fact comments this morning on a cap side, just curious if you get done any sensitivity to your earnings if the fed were to hike by 25 bps or even 50 bps further? I just want to get some initial thoughts if this will be net positive or negative to your earnings, considering wealth management, planning cost and asset quality?

Piyush Gupta
CEO & Executive Director

It's very hard to say. In last quarter, I had said there is a trade-off. At this level, rates go up, obviously, it helps our net interest margin. But on the other hand, like as I earlier said, I'm wary of the cost of credit. Even at these levels, I'd be wondering why it's not increasing the further rate hikes, I definitely think you'll see more cost of credit. And then the second thing, what I talked about annual spirits as well. So if the sentiment in the market versus that it impacts our investment banking fee, impacts our wealth management fee. So I think net-net from here on is a bit of a trade-off. Rate increase more, I think you could see a wash.

Sok Hui Lim
Chief Financial Officer

Jonathan, coming back to you on your question on share of profits of associates, I think net was actually one of the contributors. So you should see it across all the 3 banks. I think it's just got lower profits for the quarter versus last year.

Benton Jing Hung Yick

Yong Hong, do you have another question?

Yong Hong Tan

Citigroup Inc., Research Division

And maybe a second follow-up question will be on ROE. I think there could be some mark-to-market unrealized losses in your equity this quarter if the rates staying higher, but I think that should not be too big. I just wanted to ask if you have any updated views on where your ROE can be for this year?

Piyush Gupta

CEO & Executive Director

So there will be some mark to mark, but it's not big. First quarter was almost nothing for FVOCI. So far, I think a couple of hundred million bucks in this quarter because rates have held up, but it's not huge. But ROE is -- hard to call our long-term guidance you said is 15% to 17% in a normalized interest rate environment. I think it's -- the safest thing I can say is, I think we can beat the top end of that in the course of the year, but I don't have a specific number for you.

Benton Jing Hung Yick

We have a follow-up question from Aakash from UBS.

Aakash Rawat

UBS Investment Bank, Research Division

Again just a very quick one on wealth management, Piyush. I mean this quarter did feel better than Q4, but I think it still didn't feel 45% better. So I just want to understand the very stellar strength that you've seen in Wealth Management. Was it coming on the back of certain products or certain markets, which might be hard to sustain even if the rate environment and macro stays like it is today?

Piyush Gupta

CEO & Executive Director

Aakash, so I unbundled that. Out of the 45%, 47%, 12% is based on Citi effect. So because we added Citi this year, we didn't have it last year. So you don't...

Aakash Rawat

UBS Investment Bank, Research Division

45% Q-on-Q.

Piyush Gupta

CEO & Executive Director

Seasonality -- massive seasonality. The first quarter is always very, very robust. And then the second thing you're going to compare the same -- I mean, the total thing comes from the fact that we've also collected a lot of money, right? We raised \$24 billion -- \$48 billion and that \$6 billion this quarter. We added \$54 billion in net new money in the last couple of years. When you take that money and figure that there is a 10% shift from deposit to investment, that's a lot of money that goes into investment.

And the second is actually across the board. The people invested in bonds, the investors start to buy that. A lot of the uptick was structured products with equity underlying. So people are quite constructive on the view on the equity markets. So it is actually quite across the board. There is no pattern in that. It is very active.

Aakash Rawat

UBS Investment Bank, Research Division

Got it. And on the net new money, I think one of the concerns that investors had was this money has come in so rapidly. How much of it will actually stay with DPS was one of the questions that was being asked? So have you seen any attrition in that net new money? Or does it continue to stay with the bank and keeps coming in?

Piyush Gupta

CEO & Executive Director

It continue to stay with the bank. Typically, if money comes in, it's like 50% in deposits, 50% gets invested. And slowly, we try and convert more and more of that into investments. If you look at our AUMs, our AUMs are nicely up -- I think \$367-odd billion. Some of that is obviously market action. Prices have gone up, but a lot of that just represents as the new money that's come in and stuck with us.

Aakash Rawat

UBS Investment Bank, Research Division

And now that I think the Wealth Management of DBS has really become quite -- gain a critical mass in terms of the top 5 ranking in Asia. Usually, wealth management firms set targets for themselves. Are you setting any such target in terms of AUM or DBS Wealth Management, let's say 5 years from today?

Piyush Gupta

CEO & Executive Director

I don't like to operate that way, right? So we're not #3 in Asia in terms of AUM. But if you compare us to #2 and #1, which is HSBC and UBS, there's a massive gaps. UBS is still like 3x our size in Asia. And HSBC is at least 30%, 40% larger than us. So obviously, there's a lot of upside.

For us, the key thing is to focus on the fundamentals. How do you continue to bring in new customers, and how do you get data share of wallet of the customers that you do bring in? And whatever your net growth in this thing is an outcome of that. So as long as they focus on the basics, bring more customers, grow our share of wallet, the business will keep growing.

Benton Jing Hung Yick

We have no more questions in queue. So I'll bring the call to an end. Thanks, everyone. We'll speak to you next quarter.

Piyush Gupta

CEO & Executive Director

Thank you.

Sok Hui Lim

Chief Financial Officer

Thank you.

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